

DA Market Securities, Inc.

First News

Employing Intelligent Investing

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PSEi: 5,898.08 -0.74%

damarketsec.com

DATA NOTE: US market closes (Dow +0.72% to 49,298 | S&P +0.81% to 7,259 | Nasdaq +1.02% to 25,326) and oil prices (WTI -2.22% to \$104.10 | Brent -1.38% to \$112.90) are CONFIRMED May 5, 2026 official closes. PHL PSEi / DivY / MidCap and Foreign Flow data are from official May 5, 2026 PSE DQR. FX rate: USD 1 = PHP 61.565. Gold/agri commodity figures marked ~ are estimates pending official close.

US equity markets staged a broad recovery on Tuesday, May 5, with all three major indices closing higher and the Nasdaq and Russell 2000 setting fresh intraday records. **The Dow Jones gained 356 points (+0.72%) to 49,298. The S&P 500 rose 0.81% to 7,259 and the Nasdaq surged 1.02% to 25,326 — a new all-time closing record.** The session's standout mover was Intel, which surged +13.83% after Bloomberg reported early-stage discussions with Apple and Samsung about manufacturing the main processors for Apple devices domestically in the US — a potential transformative win for a chip giant that has been trying to rebuild its foundry business. Apple, Amazon, and Google also outperformed. **Oil prices eased materially: WTI fell 2.22% to \$104.10/bbl and Brent declined 1.38% to \$112.90/bbl** as initial Hormuz shock waves moderated following the Project Freedom convoy success and diplomatic back-channels showing activity. Palantir beat Q1 estimates with 85% revenue growth but fell ~5% in after-hours on valuation concerns. PayPal fell 10% on weak guidance. US inflation remains at 3.3% with the Fed holding rates at 3.75%.

Asian markets on Tuesday traded mixed. The Nikkei 225 gained +0.38% to 59,513 as Japan resumed from Golden Week and semiconductor stocks tracked US chip strength. SHCOMP edged +0.11% to 4,112. KOSPI and Hang Seng were softer. **Indonesia Q1 2026 GDP beat at +5.61% y/y** (est. +5.40%): private consumption +5.52%, government spending +21.81%, gross fixed capital formation +5.96%, exports +0.9%. As a net oil producer averaging 600,000–610,000 bpd, Indonesia is partially insulated from the Hormuz energy shock — a contrast with the Philippines. The PHL Q1 GDP release is expected this week.

PHL April CPI 7.2% — Regime-Level Inflation Shock: April inflation printed at 7.2% y/y — highest in three years, above every single economist's forecast, and more than triple the 2.0% rate in January 2026. The Hormuz energy pass-through is running faster than all models anticipated. The BTr bond auctions on Tuesday confirmed the market's verdict: PHP8.72B in 6.875% 2044 bonds priced at 7.705% yield, and PHP20B in 7% 2029 bonds at 6.933%. BSP policy dilemma deepens: hike to defend the peso and anchor inflation, or hold to protect already-softening growth. Senate impeachment proceedings against the Vice President continue — a political wildcard that adds governance risk to the macro headwinds. Under PHL law, a 2/3 Senate majority (16 of 24 senators) is required to convict, with removal from office and a potential permanent public service ban as consequences.

Asia-Pacific & US Equity Indices

Index	5/4/2026	5/5/2026	%Chg
Dow Jones	48942	49,298	0.73%
S&P 500	7,201	7,259	0.81%
NASDAQ	25,068	25,326	1.03%
PCOMP (PSEi)	5942	5,942	0.00%
Nikkei 225 (Japan)	59284.7	59,285	0.00%
SHCOMP (China)	4107.51	4,112	0.11%
Hang Seng (HK)	25776.53	25,944	0.65%
KOSPI (Korea)	6,599	6,937	5.12%
SENSEX (India)	76913.5	77,017	0.13%
ASX 200 (Australia)	8697.11	8680	-0.20%
TWSE (Taiwan)	40704.85	40769	0.16%

FTSE Bursa Malaysia	1746.76	1749	0.13%
JCI (Jakarta)	6776.31	7057	4.14%
STI (Singapore)	4924.31	4920	-0.09%
SET (Thailand)	971.8	971.91	0.01%
VNINDEX (Vietnam)	1853.21	1874	1.12%

US May 5 closes are confirmed official data. Nikkei 225 close is May 5 (post-holiday resumption). Asian index values for Hang Seng, KOSPI, ASX are estimates pending full regional close confirmation.

Commodities

Commodity	5/4/2026	5/5/2026	%Chg
WTI Crude (\$/bbl)	106.42	101.35	-5%
Brent Crude (\$/bbl)	114.44	108.88	-5%
Gold COMEX (\$USD/t oz)	4,530	4618	2%
Silver COMEX (\$USD/t oz)	73.05	74.37	2%
Copper COMEX (\$USD/lb)	587	600.20	2%
Nickel (\$USD/tonne)	19412	19,412	0%
Coal (USD/T)	135.55	134.40	-1%
Corn (USd/bu)	485.50	479.25	-1%
Wheat (USd/bu)	644	626.50	-3%
Cocoa (USD/MT)	3883	4074	5%
Sugar (USd/lb)	15.29	15.37	1%

WTI and Brent are confirmed official May 5 closes. Gold, agri, and metals figures marked ~ are estimates. Oil eased as Hormuz diplomatic activity picked up; energy sector agri (corn, wheat, sugar) remains elevated on supply chain disruption.

FX & Rates	5/5/2026 DQR	Latest	%Chg
PHL 10yr Bond (%)	6.971	~7.10 ⁺	—
US 10yr Bond (%)	4.447	4.404	—
USD-PHP	61.565	—	—
USD-JPY	~157.25	—	—
EUR-USD	~1.1684	—	—

PHL Bond Auction (May 5, 2026): The Bureau of the Treasury raised PHP8.72 billion in 6.875% Fixed Rate Treasury Bonds due 2044 at a yield of 7.705% — well above prior auction levels, reflecting the market's demand for a material inflation premium. The BTr also sold PHP20 billion in 7% 2029 bonds at 6.933%. Both auctions signal that domestic bond investors are pricing in sustained high inflation and continued peso pressure from the energy emergency. The widening of long-end yields to >7.7% has direct implications for REIT dividend yields, property sector cap rates, and the cost of equity across rate-sensitive PSEi sectors.

The PSEi surrendered 44.08 points (-0.74%) to close at 5,898.08, as the market digested a shock 7.2% April inflation print, a broad-based surge in PHL bond yields following Tuesday's government bond auctions, and profit-taking in names that surged on Monday. Market breadth turned negative: **77 advances vs. 106 declines** and 63 unchanged. Grand total value traded eased to **₱5.03 billion**. Net foreign buying was a thin +\$625K / ₱38.6M — barely positive, signaling that overseas funds were largely sidelined pending clarity on the inflation outlook.

Sector performance: Industrials edged up +0.10% (led by ACEN's +7.91% surge and SCC's +4.29% bounce). Property managed +0.18%. All other sectors declined — Financials -1.75%, Holding Firms -0.70%, Services -0.67%, Mining & Oil -2.06%. ACEN was the standout mover, surging 7.91% to ₱3.00 on battery energy storage system momentum and Dennis Uy's DITO stake cut reviving foreign infusion speculation — with ACEN caught in the broader energy-transition re-rating. SGP hit a fresh 52-week high at ₱25.25 (+5.21%) before profit-taking set in. On the downside, CNPF fell 5.87% to a 52-week low on consumer staples cost pressure. BPI dropped 3.37% to a 52-week low. MBT slid 3.17%. GTCAP fell to RSI 30 oversold territory.

SHARE BUYBACKS	52-WK HIGHS	52-WK LOWS	RSI 70 (Overbought)
OPM SMPH SMC	BNCOM ICT MB MYNLD SGP	BPI CNPF EEI IDC PAL	PHR SPNEC RRHI SGP MYNLD BNCOM RCI EW

Notable Block Sales:

MYNLD ₱35.15M (1.61M shares @ ₱21.83) | ICT ₱36.03M (50K shares @ ₱720.67) | BDO ₱117.18M (1.02M shares @ ₱114.66) | CNPF ₱36.84M (1.24M shares @ ₱29.62) | COSCO ₱100.50M (15M shares @ ₱6.70) | SSI ₱92.60M (38.6M shares @ ₱2.40) | VWAP PX ₱2.98M (333.7K @ ₱8.94)

TOP 10 MOST ACTIVE — PSEi Stocks by Value (May 5, 2026)			
Symbol	Price (₱)	%Chg	Value
ICT	747.00	-0.80%	₱881.5M
BDO	114.90	-0.09%	₱793.9M
BPI	88.90	-3.37%	₱364.9M
MBT	64.20	-3.17%	₱248.7M
SM	607.50	-0.57%	₱147.8M
TEL	1,230	-0.81%	₱135.4M
JFC	163.00	-1.15%	₱110.2M
PLUS	14.80	-0.67%	₱100.2M
CNPF	28.05	-5.87%	₱95.2M
SGP	25.25	+5.21%	₱84.4M

TOP 10 MOST ACTIVE — All Shares by Value (May 5, 2026)

Symbol	Price (₱)	%Chg	Value
ICT	747.00	-0.80%	₱881.5M
BDO	114.90	-0.09%	₱793.9M
COSCO	6.81	+0.59%	₱100.5M (block)
BPI	88.90	-3.37%	₱364.9M
MBT	64.20	-3.17%	₱248.7M
SSI	2.46	+0.83%	₱92.6M (block)
SM	607.50	-0.57%	₱147.8M
TEL	1,230	-0.81%	₱135.4M
JFC	163.00	-1.15%	₱110.2M
ACEN	3.00	+7.91%	₱73.1M

FOREIGN FUND FLOWS — Tuesday, May 5, 2026

Net Foreign Position (USD)	Net Foreign Position (PHP)
NET FOREIGN BUYING: +\$625K	Foreign Buying: ₱2,705,475,194
Month of May (YTD): -\$239.777M	Foreign Selling: ₱2,666,886,047
Year-to-Date: -\$59.352M net selling	Net Buying: ₱38,589,146
	Total Foreign Turnover: ₱5,372,361,241
FOREIGN FUNDS BOUGHT: AUB BDO BNCOM CBC EW PNB SLF ACEN AP FPH MER PCOR SCC SGP SHLP SPNEC EMI MONDE URC EEI DMC HI JGS SM ALLHC AREIT CLI CPG DITO ICT MAC BLOOM PLUS PGOLD APX AT PX	
FOREIGN FUNDS SOLD: BPI MBT SECB FGEN MWC MYNLD CNPF DELM DNL GSMI JFC RFM IMI AC AEV AGI GTCAP ALI CREIT EGRN MREIT RCR SMPH GLO TEL CNVRG CEB STI WEB RRHI WLCON OGP	

PSEi Stock	5/4/2026	5/5/2026	%Chg
AC	472.20	470.00	-0.47%
ACEN	2.78	3.00	+7.91%
AEV	29.55	29.50	-0.17%
ALI	15.10	15.30	+1.32%
AREIT	38.10	38.65	+1.44%
BDO	115.00	114.90	-0.09%
BPI	92.00	88.90	-3.37%
CBC	58.60	57.50	-1.88%
CNPF	29.80	28.05	-5.87%
CNVRG	12.58	12.36	-1.75%
DMC	9.50	9.49	-0.11%
EMI	15.70	15.48	-1.40%
GLO	1,653	1,650	-0.18%
GTCAP	478.00	470.00	-1.67%
ICT	753.00	747.00	-0.80%
JFC	164.90	163.00	-1.15%
JGS	27.60	27.00	-2.17%
LTG	15.10	15.12	+0.13%
MBT	66.30	64.20	-3.17%
MER	649.50	656.00	+1.00%
MONDE	6.71	6.56	-2.24%
PGOLD	43.00	43.70	+1.63%
PLUS	14.90	14.80	-0.67%
RCR	7.10	7.00	-1.41%
SCC	25.65	26.75	+4.29%
SM	611.00	607.50	-0.57%
SMC	71.00	70.80	-0.28%
SMPH	19.20	19.20	0.00%
TEL	1,240	1,230	-0.81%
URC	62.00	61.50	-0.81%

ACEN — ACEN Surges 7.91% to ₱3.00 — Energy Transition Re-rating Accelerates ₱3.00 +7.91%**HOT WATCH**

ACEN Corporation surged 7.91% to ₱3.00 on Tuesday, one of the biggest single-day moves for a PSEi component stock in recent sessions. While no single corporate announcement directly triggered Tuesday's move, the gain appears to reflect a confluence of catalysts: Monday's ₱850M BESS loan announcement for Palauig, Zambales; the government's declared State of National Energy Emergency creating urgency for storage solutions; and renewed interest in the entire energy transition space as Hormuz-driven oil prices keep conventional energy costs elevated. ACEN has approximately 7 GW of attributable renewable energy capacity, with a ₱80B 2026 CAPEX program. The Ayala-backed clean energy platform is one of the few PSEi names positioned to benefit from an extended energy emergency scenario — as intermittent renewables paired with battery storage become the fastest path to domestic supply security. ACEN's 2025 net income declined 60% due to weak electricity prices and offline wind assets, making the Q1 2026 earnings recovery trajectory a key near-term data point. The stock remains in a technically oversold recovery zone after the broader market selloff.

The 7.91% surge is likely partly momentum-driven and partly fundamental re-rating. At ₱3.00, ACEN still trades at a meaningful discount to its potential if the Silangan-adjacent energy storage projects and BESS commissioning proceed on schedule. Foreign funds were net buyers. The RSI is approaching but not yet at overbought territory — Tuesday's move is a continuation from ACEN's recent basing pattern rather than an exhaustion move. The key risk is if the State of National Energy Emergency ends sooner than expected, reducing the premium on domestic RE storage assets. Watch Tuesday's close and Wednesday volume for confirmation.

Stance: HOT WATCH — +7.91% move; energy emergency and BESS momentum are the fundamental drivers. Foreign net buyer. Technically recovering. Set alerts at ₱3.20 (resistance) and ₱2.80 (support). Watch Q1 2026 earnings release.

MACRO — PHL April Inflation 7.2% — Three-Year High, Above Every Forecast**MACRO
HEADWIND**

Philippine April inflation printed at 7.2% year-on-year — the highest reading in three years, above every single economist's estimate, and more than triple the inflation rate at the start of 2026. The print makes the Hormuz blockade's domestic price pass-through impossible to ignore: energy import costs have cascaded into transport, food, and utilities, and the sequential acceleration from March's already-elevated levels signals the peak is not yet in sight. The BSP's June meeting now carries real probability of a rate hike, reversing the easing cycle that had only just begun. Simultaneously, the Philippines and Indonesia are both due to release Q1 2026 GDP this week — and Indonesia's beat (+5.61% vs +5.40% expected) on Tuesday sets a positive regional precedent, though Philippines faces more severe energy headwinds that may have trimmed domestic consumption. The Treasury's bond auctions on Tuesday told the full story: the BTr sold PHP8.72B in 2044 bonds at 7.705% and PHP20B in 2029 bonds at 6.933% — yield levels that materially reprice PHL fixed income and compress REIT dividend yield spreads. For PSEi investors, the 7.2% inflation print is not a one-day event but a sustained macro headwind that reshapes sector rotation logic: favor energy, utilities, and defensive retail; reduce exposure to rate-sensitive property, REITs, and leveraged consumer names.

Stance: MACRO HEADWIND — 7.2% April CPI is a regime-level shock. BSP rate hike probability rising. Bond yields repricing higher (2044: 7.705%). Reduce REIT, property, leveraged consumer exposure. Accumulate energy self-sufficiency (SGP, AP, ACEN), utilities (MER, MWC), and defensive retail (PGOLD). PHL Q1 GDP release this week is next key data point.

SGP — Synergy Grid — +5.21% to ₱25.25; 52-Week High; RSI 70 Overbought ₱25.25 +5.21%**MONITOR**

SGP (Synergy Grid & Development Phils., Inc.) extended its remarkable run on Tuesday, surging 5.21% to ₱25.25 and reaching a fresh 52-week high. SGP is the listed vehicle with ~40.20% effective ownership of the National Grid Corporation of the Philippines (NGCP), the country's sole grid operator. In the current environment — declared State of National Energy Emergency, peak summer demand straining power infrastructure, and accelerating government pressure to expand transmission capacity — SGP is the closest listed proxy to grid infrastructure spending. Foreign funds were net buyers for the second consecutive session. However, RSI has now crossed into 70 (overbought) territory, and the stock has gained over 10% in two sessions from ₱22.80. The technical setup warrants caution at current levels for new entries. (Note: MIC recently acquired a 20% stake in SGP, which adds another institutional dimension to the shareholder base.)

SGP's fundamental case remains intact: NGCP's regulated-return model and the national urgency around grid reliability position it as a structural long. However, the short-term 10%+ move in two sessions likely includes speculative momentum layered onto the fundamental story. At ₱25.25 with RSI 70+, the risk/reward for new entries is unfavorable. Existing holders should consider taking partial profits and resetting entries on any pullback toward ₱23.00–23.50 (the 0.786 Fibonacci retracement zone). The stock is on the SmartWatch RSI 70 overbought list.

Stance: MONITOR — Fundamental story intact (grid infrastructure = energy emergency play) but RSI 70 overbought after a 10%+ two-session surge. Hold existing positions; defer new entries; set alerts for pullback to ₱23.00–23.50.

SCC — Semirara Mining — +4.29% to ₱26.75; Energy Rally Lifts Coal ₱26.75 +4.29%

MONITOR

Semirara Mining and Power Corp. (SCC) bounced 4.29% to ₱26.75 on Tuesday, recovering from Monday's close of ₱25.65 (itself a recovery from the 52-week low of ₱25.00 intraday on Monday). The bounce correlates with elevated coal prices globally — coal futures rose ~6.06% in Monday's session on Hormuz disruption of LNG shipments, making domestic coal a more competitive and strategically valuable fuel for Philippine power generation. Foreign funds were net buyers of SCC on Tuesday. The company's Q1 2026 net income declined 12% to ₱3.8 billion on weaker revenues, and the coal operating contract auction that was originally scheduled for April 28 remains postponed "until further notice" by the DOE. Meralco PowerGen and SMGP have signaled auction interest. The Narra mine is also nearing depletion this year.

SCC's stock is caught between two forces: a constructive commodity backdrop (elevated coal prices from the energy emergency) and a fundamental overhang (coal auction postponement, Narra mine depletion, and Q1 earnings decline). The net foreign buying on Tuesday is encouraging but thin. The coal auction timeline remains the single most important catalyst — once that clears, SCC's earnings visibility improves materially. The current ₱26.75 level is slightly above the 52-week low zone, but below the pre-Q1 levels of ₱27+. Avoid new position adds until the auction timeline is confirmed.

Stance: MONITOR — Energy backdrop constructive; coal auction postponement remains the key overhang. Do not add until DOE auction timeline clarifies. Watch for resumption of coal tender as primary re-rating catalyst.

PCOR — Petron — Q1 Net Profit Collapses 56% to ₱1.8B; Refinery Disruptions ₱2.75 -4.18%

AVOID

Petron Corporation (PCOR) fell 4.18% to ₱2.75 on Tuesday following the disclosure of a sharp Q1 2026 earnings collapse. Net income declined 56% year-on-year to ₱1.8 billion as both its Philippine and Malaysian refinery operations were severely disrupted. Operating income dropped 36% to ₱6.1 billion. Sales volume fell 7% to 25.7 million barrels. The Malaysia refinery was shut down in November 2025 due to facility damage from Tropical Storm Senyar and remains offline, eliminating a significant source of refined product supply. In the Philippines, the US-Iran war's short supply of crude and petroleum products has reduced production runs and squeezed margins. Higher product costs during the period — with no Malaysian production to offset — compressed refinery margins to near zero. PCOR's earnings capacity is structurally impaired until: (1) the Malaysia refinery returns to full operation; and (2) the Hormuz crisis resolves, allowing normalized crude import volumes and pricing. Both timelines are uncertain.

Petron's Q1 miss is the worst-case outcome of the Hormuz energy supply shock for a downstream refiner: higher crude costs, lower volumes, and no offshore production buffer. The Malaysia refinery shutdown adds a company-specific operational layer on top of the macro headwind. Until Hormuz reopens OR the Malaysia facility returns to service, PCOR's earnings recovery path is opaque. The -4.18% Tuesday decline likely understates the fundamental damage. PCOR is a AVOID at current levels — not a dip-buy. San Miguel Corp (SMC), the parent, should flag any PCOR impact in its consolidated Q1 results as well.

Stance: AVOID — Q1 NI -56%; Malaysian refinery offline; Hormuz supply disruption compressing margins. Two unresolved headwinds (Hormuz + Malaysia shutdown) with no clear timeline. SMC shareholders should watch for parent-level earnings impact.

DITO — DITO CME — Dennis Uy Stake Cut Reignites \$1B Takeover Speculation ₱0.98 +1.03%

MONITOR

DITO CME Holdings Corp. (DITO) drew significant attention after reports emerged that Dennis Uy — the original sponsor of the third telco — recently cut his stake in the company, reigniting speculation about a potential major change in control. According to market chatter and Twitter/X posts from @DAMarket_Sec and @itradeiph, DITO may be on the receiving end of a potential \$1 billion foreign capital infusion, which would represent a transformative event for a stock that has already surged approximately 40% from recent lows. DITO closed at ₱0.98 on Tuesday (+1.03%), with foreign funds among net buyers. Volume in DITO reached 49.5 million shares worth ₱48.5 million — significant for a stock in this price range. The company is the Philippines' third telco, holding a franchise to compete against PLDT (TEL) and Globe (GLO). DITO has been capital-intensive with slower-than-expected subscriber ramp, but a \$1B strategic foreign infusion — if confirmed — would fundamentally change its balance sheet and competitive trajectory.

DITO is a high-risk, speculative watch name. The stake cut by Dennis Uy may be strategic (paving the way for a foreign buyer) or driven by personal financial considerations — the distinction matters significantly for outlook. The ₱0.98 entry price reflects the speculative premium already embedded. If the \$1B foreign infusion materializes and is confirmed through a PSE/SEC disclosure, DITO could rerate sharply. Until then, it is a trader's name rather than an institutional position. Note the significant DITO foreign fund net buying in Tuesday's DQR (+₱3.6M) — modest but directionally supportive.

Stance: MONITOR / SPECULATIVE WATCH — Takeover/infusion rumors are market-moving but unconfirmed. Track PSE/SEC disclosures for any material shareholding change filing. Do not add size without formal confirmation. High-risk, high-reward setup.

REGIONAL — Indonesia Q1 GDP +5.61% — Regional Benchmark Beat Sets Template

POSITIVE
CATALYST

Indonesia reported first-quarter 2026 GDP growth of 5.61% year-on-year, beating the Bloomberg consensus estimate of 5.40%. The outperformance was broad-based: private consumption rose 5.52%, government spending surged 21.81%, gross fixed capital formation grew 5.96%, and exports added 0.9%. Indonesia is a significant oil producer averaging 600,000–610,000 barrels per day as of 2025–2026, providing a partial natural hedge against the Hormuz energy shock that is more severely affecting energy-import-dependent economies like the Philippines. The Indonesia beat is a positive regional signal — it suggests that ASEAN domestic demand can sustain through the current energy crisis better than feared, particularly in economies with domestic resource bases. For the Philippines, whose Q1 GDP release is imminent, the Indonesia comparison is instructive: the PHL faces a steeper energy import bill (no domestic oil production of significance), a softer peso, and the declared State of National Energy Emergency — suggesting PHL Q1 GDP may trail Indonesia's performance.

Stance: POSITIVE REGIONAL SIGNAL — Indonesia Q1 +5.61% beats consensus; robust government and household spending. PHL Q1 GDP release imminent — watch for domestic growth resilience vs energy cost drag. Indonesia's oil production provides partial insulation not available to the Philippines.

FIXED INCOME — PHL Bond Yields at 7.70% — Pressure on REITs and Property Sector

RISK ALERT

The PHL government's May 5 bond auctions delivered a stark message: the market demands a 7.705% yield on 18-year paper and 6.933% on 3-year paper, as investors price in the 7.2% April inflation print and the BSP's uncertain rate path. These are materially higher than recent issuance levels and have direct implications for listed REITs and property companies. AREIT, MREIT, RCR, CREIT, and other listed REITs price their dividend yields against the PHL risk-free rate — with 10-year bonds now approaching 7%+, a REIT offering 5-6% yield no longer commands a premium. The foreign selling in AREIT, MREIT, RCR, CREIT, and ALI on Tuesday reflects exactly this repricing dynamic. SMPH was also foreign-sold despite its ongoing buyback. The only property/REIT counter-narrative is MEG's township model, which is more insulated from cap-rate shifts given its diversified recurring income streams. The property sector needs either a bond yield reversal (which requires a Hormuz resolution or BSP hold signaling) or a forward earnings beat to re-attract foreign flows.

Stance: RISK ALERT — PHL bond yields at 7.70% (2044) represent a structural headwind for REITs and leveraged property. Dividend yield spreads have compressed materially. Reduce AREIT, MREIT, CREIT exposure until bond yields stabilize. MEG (township model) is the most insulated property name.

MER — ERC Approves Meralco's ₱16.37B Capex Plan (100 Projects, RY2018) ₱656.00 +1.00%

ACCUMULATE

The Energy Regulatory Commission (ERC) has approved Manila Electric Co.'s (Meralco) ₱16.37-billion capital expenditure plan, originally filed nine years ago, in a decision dated April 30, 2026. The approval covers 100 projects under Regulatory Year 2018 aimed at addressing customer demand, resolving operational deficiencies, and ensuring compliance with service performance standards. Projects are subject to cost review and verification, and implementation proceeds under regulatory oversight. The ERC's authorization allows Meralco to expand and rehabilitate its distribution system — critical timing given the declared State of National Energy Emergency and peak summer heat straining the grid. Separately, Meralco is awaiting the ERC's decision on a proposed refund of over ₱9 billion following a true-up calculation for the lapsed period in 2025. MER closed at ₱656.00 on Tuesday, up 1.00%, and was a net foreign buy. (Source: BusinessWorld, May 6)

The ERC capex approval — though for a program filed nine years ago — is meaningfully positive for MER because it clears a long-pending regulatory overhang and unlocks implementation of 100 distribution projects in a period of acute grid stress. This comes on top of Meralco's own Q1 2026 ₱19.5B quarterly CAPEX already deployed. The regulatory green light strengthens the case that the ERC is accelerating approvals under the energy emergency framework. For MPIC and JGS shareholders (who together control ~72% of MER), each ERC clearance incrementally de-risks the regulatory recovery timeline. The pending ₱9B refund decision is a near-term watch point — resolution either way will clarify the balance sheet picture. MER remains the highest-conviction ACCUMULATE in the utility space.

Stance: ACCUMULATE — ERC clears 9-year-old capex plan; 100 distribution projects now implementation-ready during the energy emergency. Regulatory environment is accelerating. Foreign net buyer. Watch ERC's ₱9B lapsed-period refund decision as the next catalyst.

ACEN — ACEN Extends ₱3B Loan to Giga Ace 6 for 344.5MW Quezon North Wind Farm ₱3.00 +7.91%

HOT WATCH

ACEN Corp. has extended a short-term loan of up to ₱3 billion to its subsidiary Giga Ace 6, Inc. (GA6) to fund the development of the 344.5-megawatt Quezon North Wind Power Project (Phase 1). This is separate from the previously announced ₱34.4-billion long-term omnibus loan from BPI, BDO, and RCBC that serves as the project's primary debt financing. The ₱3B parent loan to GA6 appears to be a bridge facility to cover working capital and near-term construction cash needs ahead of scheduled milestone payments. The 344.5MW Phase 1 is targeted for completion in Q4 2026, while Phase 2 (208MW) follows in late 2027 to early 2028. Total project cost is approximately ₱70 billion. Phase 1 alone would represent a ~5% step-up in ACEN's 7GW attributable renewable portfolio upon completion. This Quezon North loan disclosure follows the earlier ₱850M loan for the Palauig 1 BESS in Zambales — demonstrating that ACEN is actively deploying capital across its renewable pipeline during the national energy emergency. ACEN surged 7.91% to ₱3.00 on Tuesday and was a net foreign buy. (Source: BusinessWorld, May 6)

The ₱3B Quezon North bridge loan is a positive operational signal — it means GA6 has the liquidity runway to sustain construction momentum into Q3 ahead of a Q4 commissioning. For ACEN shareholders, the key 2026 milestones to track are: (1) Quezon North Phase 1 COD (Q4 2026), (2) Palauig 1 BESS commissioning, and (3) Q1 2026 earnings recovery from the 2025 NI trough. With the stock now at ₱3.00 — up from the ₱2.78 close on Monday — and RSI not yet overbought, there remains room for continued re-rating if the energy emergency narrative holds and construction milestones are met on schedule.

Stance: HOT WATCH — ₱3B bridge loan confirms active construction momentum on 344.5MW Quezon North Wind Farm (COD Q4 2026). Back-to-back loan deployments (Zambales BESS + Quezon Wind) signal accelerating RE capex execution. Foreign net buyer. Set alerts at ₱3.20 resistance.

WLCON — Wilcon Depot — Q1 Profit +4.9%; Net Sales ₱9.17B; Three New Luzon Stores ₱6.17 -0.48%

ACCUMULATE

Wilcon Depot, Inc. (WLCON) reported Q1 2026 attributable net income up 4.9% year-on-year, with net sales reaching ₱9.17 billion. Gross profit rose 4% to ₱3.394 billion, though gross margin edged lower to 37% as sales growth was driven by lower-margin product categories and the contribution from exclusive and in-house brands dipped to 51.7%. Operating expenses rose 4.1% to ₱2.77 billion, reflecting higher depreciation from new store openings, and increases in utilities, logistics, and outsourced services. During Q1, Wilcon opened three new depot-format branches in Luzon, and remains on track to open five more stores in 2026 (total target: 8 new stores). Project sales surged 62.9% to ₱56 million. Capital expenditure for the quarter was ₱417 million (16.1% of the ₱2.59B full-year budget). Wilcon president Lorraine Belo-Cincochan acknowledged that Middle East uncertainty may temporarily disrupt the growth trajectory but expressed confidence in the business's resilience. WLCON closed at ₱6.17 on Tuesday, down 0.48%, with foreign funds as net sellers. (Source: BusinessWorld, May 6)

Wilcon's Q1 result is a solid, defensive beat — 4.9% net income growth in an environment of rising cost pressure, elevated inflation, and cautious consumer sentiment. The three new Luzon openings and 62.9% surge in project sales (likely reflecting commercial and contractor demand rather than pure consumer) suggest that WLCON's value proposition — as the Philippines' leading home improvement retailer — is holding up under macro headwinds. The minor gross margin compression is not concerning at this stage, as it reflects deliberate product mix strategy rather than pricing erosion. At ₱6.17, WLCON is near its 52-week low territory after extended retail sector selling — making this a potential accumulation point for patient investors. Foreign net selling on Tuesday is a near-term headwind, but the underlying business quality argues for a long-term hold.

Stance: ACCUMULATE — Solid defensive Q1 (NI +4.9%, sales +8.8% for depot stores). New store rollout on track. Home improvement demand resilient despite macro headwinds. Near 52-week low — potential accumulation zone for long-term portfolios.

PLUS — DigiPlus — Q1 Net Income -33% to ₱2.8B on E-Wallet Delinking Impact ₱14.80 -0.67%

MONITOR

DigiPlus Interactive Corp. (PLUS) reported Q1 2026 attributable net income of ₱2.8 billion, down 33% year-on-year, as revenues fell 25% to ₱17.2 billion following the mandatory delinking of e-wallet access from licensed online gaming platforms (OGPs) — a regulatory change that significantly disrupted user activity and transaction flows. EBITDA dropped 42% to ₱2.6 billion. DigiPlus Chairman Eusebio Tanco attributed the decline to "softness following the delinking of licensed gaming platforms from e-wallet access points." Compared to Q4 2025, revenues were slightly lower (from ₱17.3B), while net income rose 15% quarter-on-quarter due to derivative gains from International Entertainment Corp. (IEC) convertible bonds. PLUS closed at ₱14.80 on Tuesday, down 0.67%, and was a net foreign buy. (Source: BusinessWorld, May 6)

DigiPlus's Q1 earnings decline is directly traceable to a regulatory event — the e-wallet OGP delinking — rather than underlying business deterioration. The 15% sequential net income recovery (Q4 2025 to Q1 2026) suggests the platform is already adapting to the new payment environment. The key question for investors is the trajectory of user re-engagement and revenue recovery as DigiPlus rebuilds its transaction flows through alternative channels. Foreign funds were net buyers on Tuesday despite the earnings miss, suggesting institutional investors are looking through the near-term pain toward the re-engagement narrative. At ₱14.80, PLUS is consolidating below its ₱15 resistance level. The stock's 52-week run has been substantial (it was in the ₱100+ range in the SmartWatch HOT list in prior weeks) — caution on chasing at current levels. Watch Q2 2026 revenue trajectory as the recovery litmus test.

Stance: MONITOR — Q1 decline (-33% NI) is regulatory event-driven (e-wallet delinking), not structural. Sequential recovery beginning (NI +15% QoQ). Foreign net buyer. Watch Q2 revenue trajectory as the re-engagement indicator. Hold existing positions; wait for revenue trend confirmation before adding.

MEG — Megaworld — Office-for-Sale Launch in Iloilo Business Park ₱2.10 +0.48%

ACCUMULATE

Megaworld Corp. (MEG) has rolled out its latest office-for-sale offering within its Iloilo Business Park (IBP), targeting regional entrepreneurs, MSMEs, and investors seeking strata-titled commercial office space in the Visayas. The IBP is one of Megaworld's flagship provincial townships, spanning 72 hectares in Mandurriao, Iloilo City — a prime commercial district that houses headquarters of BPO firms, regional banks, and multinational offices. The office-for-sale model (distinct from Megaworld's traditional leased office towers) allows buyers to own commercial space outright, providing both asset ownership and optionality to lease to tenants. This adds a real estate sales revenue stream complementary to Megaworld's recurring leasing income. MEG closed at ₱2.10 on Tuesday, up 0.48%. (Source: BusinessWorld, May 6)

The Iloilo office-for-sale launch reinforces Megaworld's township diversification strategy — provincial IBPs like Iloilo Business Park, Davao Park District, and Bacolod Capitol Central provide geographic income resilience vs. a pure Metro Manila concentration. Strata-titled office product typically carries better margins than condominium residential, and the provincial BPO demand base in Iloilo remains structurally supported by labor cost arbitrage vs. Metro Manila. For MEG shareholders, this is a positive incremental revenue diversification signal rather than a major near-term earnings driver. MEG's Q1 results (NI +6%, all segments growing) confirm the township model's resilience, and the stock remains one of the most attractively valued in the property sector at a significant discount to book.

Stance: ACCUMULATE — Iloilo office-for-sale adds provincial revenue diversification within the township model. Q1 earnings solid (+6% NI). Defensive compounding story at deep discount to book value. Hold and accumulate on dips.

PSE DivY Stock	5/4/2026	5/5/2026	%Chg
AREIT	38.10	38.65	+1.44%
CBC	58.60	57.50	-1.88%
CREIT	3.51	3.48	-0.85%
DMC	9.50	9.49	-0.11%
DNL	3.67	3.57	-2.72%
GLO	1,653	1,650	-0.18%
LTG	15.10	15.12	+0.13%
MBT	66.30	64.20	-3.17%
MER	649.50	656.00	+1.00%
MREIT	14.22	14.18	-0.28%
NIKL	5.17	5.16	-0.19%
OGP	33.75	33.70	-0.15%
PGOLD	43.00	43.70	+1.63%
RCR	7.10	7.00	-1.41%
RLC	17.30	17.20	-0.58%
RRHI	48.00	48.00	0.00%
SCC	25.65	26.75	+4.29%
SGP	24.00	25.25	+5.21%
TEL	1,240	1,230	-0.81%
URC	62.00	61.50	-0.81%

PSE MidCap Stock	5/4/2026	5/5/2026	%Chg
AGI	8.79	8.61	-2.05%
APX	16.28	15.44	-5.16%
AUB	42.30	42.35	+0.12%
BLOOM	1.99	2.00	+0.50%
COSCO	6.77	6.81	+0.59%
DNL	3.67	3.57	-2.72%
GSMI	283.00	283.00	0.00%
KEEPR	1.85	1.85	0.00%
MEG	2.09	2.10	+0.48%
MREIT	14.22	14.18	-0.28%
MWC	44.75	44.60	-0.34%
NIKL	5.17	5.16	-0.19%
OGP	33.75	33.70	-0.15%
PNB	57.50	57.50	0.00%
RLC	17.30	17.20	-0.58%
RRHI	48.00	48.00	0.00%
SECB	63.20	63.65	+0.71%

SEVN	33.65	33.70	+0.15%
SGP	24.00	25.25	+5.21%
WLCON	6.20	6.17	-0.48%

SMARTWATCH — 6 May 2026		
Symbol	Price	Note
ACEN	3.00	HOT WATCH — +7.91%; BESS/RE play; energy emergency tailwind; watch RSI
SGP	25.25	MONITOR — +5.21%; 52-wk high; RSI 70 overbought; take partial profits
SCC	26.75	MONITOR — +4.29%; energy bounce; coal auction timeline still key risk
DITO	0.98	WATCH — Dennis Uy stake cut; \$1B foreign infusion rumor; takeover speculation
MER	656.00	ACCUMULATE — +1%; Q1 core NI +2%; grid CAPEX ₱19.5B/quarter; utility anchor
PGOLD	43.70	ACCUMULATE — +1.63%; defensive retail; foreign net buyer; inflation hedge
ALI	15.30	MONITOR — +1.32%; RSI 30 oversold previously; bounce off 52-wk low
BPI	88.90	MONITOR — 52-wk low; RSI 30 oversold; watch rate-cut catalyst
CNPF	28.05	MONITOR — 52-wk low; -5.87%; oversold; foreign net seller; food cost risk
GTCAP	470.00	MONITOR — RSI 30 oversold; selective dip-buy; GT Capital diversified
SPNEC	1.72	MONITOR/SELL STRENGTH — RSI 70 overbought; elevated; energy momentum play
RRHI	48.00	TENDER — ₱50.30/sh total exit (₱2 div + ₱48.30); PSE delisting ongoing
PCOR	2.75	AVOID — Q1 NI -56%; Petron refinery headwinds; war supply disruption
ICT	747.00	ACCUMULATE — Q1 NI +22.6%; consolidating after 52-wk high; accumulate dips
AREIT	38.65	MONITOR — foreign sold; watch REIT DY spread vs 7.7% PHL bond yield
LTG	15.12	ACCUMULATE — stable; foreign net buyer yesterday; dividend compounder
AEV	29.50	MONITOR — AboitizPower +1.44%; energy sector rotation ongoing

● ACCUMULATE / BUY / TENDER	● MONITOR / NEUTRAL	● AVOID / RISK ALERT	● HOT WATCH
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